

Barton meant he thought that Wells Fargo would trade down into the teens. Buffett “is a famous bargain hunter and long-term investor,” said George Salem, an analyst with Prudential Securities, but “California could become another Texas.”³³ Salem was referring to the bank failures that had occurred in Texas during the decline in energy prices. Buffett “won’t have to worry about who spends his fortune much longer,” said John Liscio at *Barron’s*, “not if he keeps trying to pick a bottom in bank stocks.”³⁴

Buffett was very familiar with the business of banking. In 1969, Berkshire Hathaway purchased 98 percent of the holdings of Illinois National Bank and Trust Company. Before the Bank Holding Act required Berkshire to divest its interest in the bank in 1979, Buffett reported the sales and earnings of the bank each year in Berkshire’s annual reports. The bank took its place beside Berkshire’s other controlled holdings.

Just as Jack Ringwalt helped Buffett understand the intricacy of the insurance business, Gene Abegg, who was chairman of Illinois National Bank, taught Buffett about the banking business. What he learned was banks were profitable businesses if they issued loans responsibly and curtailed costs. “Our experience has been that the manager of an already high-cost operation frequently is uncommonly resourceful in finding new ways to add to overhead,” said Buffett, “while the manager of a tightly run operation usually continues to find additional methods to curtail costs, even when costs are already well below those of its competitors. No one has demonstrated this latter ability better than Gene Abegg.”³⁵

Tenet: Favorable Long-Term Prospects

Wells Fargo is not Coca-Cola, Buffett says. Under most circumstances, it is hard to imagine how Coca-Cola could fail as a business. But the banking business is different. Banks can fail and have, on many occasions. Most bank closures can be traced to management mistakes, Buffett points out, usually when they foolishly issue loans that a rational banker would never have considered. When assets are 20 times equity, which is common in the banking industry, any managerial foolishness involving even a small amount of assets can destroy a company’s equity.